

RISA

APM Case Study

Problem Statement

Conceptualize a practical, AI browser with a clear audience, differentiated features, a viable adoption strategy, and a sustainable monetization model

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UNDERSTANDING THE PROBLEM STATEMENT

- With the rise of AI, browsers are evolving into assistants that can search, summarize, create content, and automate tasks.
- However, most current AI browsers focus on isolated features, not end-to-end productivity
- The challenge is to reimagine the browser as an intelligent, safe, and productivity-driven workspace
- We are choosing our **main persona** as **knowledge workers**

EXISTING AI BROWSERS

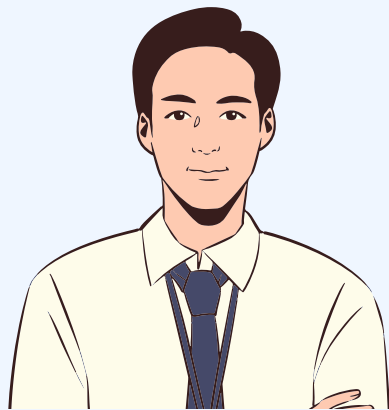
Browser	Primary Unique Value	Best For
ChatGPT Atlas	Browser with memories	ChatGPT users
Perplexity Comet	Autonomous agentic AI	Research professionals
Arc Max	Context-only AI	Clean interface lovers
Edge Copilot	Microsoft ecosystem	Enterprise users
Brave Leo	Privacy + BYOM	Privacy-conscious users
Opera Aria	Local AI models	Tech enthusiasts
Sigma AI	Multimedia generation	Content creators
Dia Browser	AI-first experience	Early adopters

ASSUMPTIONS

- Students and knowledge workers lose significant time switching between multiple tabs, apps, and sources during research and assignments.
- Knowledge workers want better data privacy, security and accurate results
- Users spend hours searching, comparing, copying, and organizing information that could be automated by AI.
- Switching a primary browser has high friction due to saved passwords, extensions, and habits users will move only if the benefit is clearly superior.
- On-Device AI Is Practical at Scale
- Users want to try advanced AI features for free before committing to a paid plan.



PRIORITISED USER PERSONAS



MIKE CHENG

Researcher

- ◆ **Key Needs**
 - Citation-backed summaries
 - Multi-document comparison
 - Local-only, private AI
- ◆ **Preferences**
 - Source-visible reasoning
 - Document-first workflows
 - Accuracy over speed
- ◆ **Core Challenges**
 - Reading fatigue from long reports
 - Manual citation creation
 - Fear of AI hallucinations



SARAH JOSEPH

Management Consultant

- ◆ **Key Needs:**
 - Rapid market & competitor research
 - Source-linked insights for client decks
 - Error-free data for high-stakes decisions
- ◆ **Preferences**
 - Project-wise tab organization
 - One-click comparison reports
 - AI that justifies every output
- ◆ **Core Challenges**
 - Tab overload during multi-client projects
 - Duplicate research across engagements
 - Risk of wrong data going to clients



BILO ERSIN

Product Manager

- ◆ **Key Needs:**
 - Continuous competitor & user tracking
 - Fast PRD and update drafting
 - Deep-focus work time
- ◆ **Preferences**
 - Automation for repetitive work
 - Visual progress tracking
 - AI that assists but never auto-sends
- ◆ **Core Challenges**
 - Context switching across many tools
 - Manual feature & feedback tracking
 - Frequent distractions during work hours

SOLUTION CORE FEATURES

Introducing **VELOCITY**



Smart Research Agent

A production-grade research agent that executes verified, end-to-end analysis across the web

Generative UI

Turns cluttered websites into purpose-built workspaces

Enterprise Protection

Enterprise security without breaking the use experience

SMART RESEARCH AGENT

- End-to-End Research Automation: Visits sites, handles cookies, extracts data, and builds comparison tables automatically
- Multi-Tab Intelligence: Works across multiple websites simultaneously
- Glass-Box Transparency: Shows every step of what the AI is doing in real time
- Mandatory Citations: Every data point is linked to its exact source
- Outcome: 3-hour research tasks in ~8 minutes, with zero hallucinated data

EXAMPLE WORKFLOW

- User: "Find top 5 CRM providers, compare enterprise pricing and security certifications, create comparison table"
- Agent launches 5 parallel invisible browser windows → Visits each company's pricing page → Automatically dismisses cookie pop-ups → Captures relevant information → Standardizes into consistent structure → Generates formatted table with clickable links back to original sources

SOLUTION CORE FEATURES

GENERATIVE UI

- Focus View: Instantly strips ads, pop-ups, and noise into clean, readable layouts
- Adaptive Understanding: Rewrites content to your level Unified Dashboards: Combines data from multiple apps (Analytics, Salesforce, Stripe) into one live briefing
- Standardized Web UI: Creates consistent layouts across different websites for faster actions

 **Outcome: Users read 2× faster, with 60% lower visual cognitive load**

ENTERPRISE PROTECTION

- Local-First PII Protection: Sensitive data is detected and redacted on-device before it ever leaves the system
- Air-Gap Mode: Full offline AI for highly confidential work (no cloud dependency)
- Dynamic AI Security Policies: Smart rules like “block phishing-like pages” or “redact internal codenames”
- Automatic Audit Trails: Compliance without surveillance-style UX

DIFFERENTIATION

Dimension	 					VELOCITY
Business Model	Ad revenue (maximize browsing time)	Not available	Freemium (\$15/mo Premium)	Freemium (Plus \$20/mo for agent)	Enterprise license	Productivity subscription (minimize browsing time)
AI Integration	Sidebar bolt-on (Gemini/Copilot)	Contextual UI (Dia)	Sidebar assistant (multi-model)	Deeply integrated agent + memory	Minimal/None	Native DOM agent inside browsing
Privacy Model	Tracking/telemetry	Privacy-respecting	Privacy-first (no logs, BYOM)	30-day memory retention, training opt-in	Surveillance/audit heavy	Sovereign/local-first by default
Enterprise Security	Basic policies	No DLP, no SOC2	No enterprise features	Limited (account-based only)	Heavy VDI restrictions	Invisible governance layer
Agentic Capabilities	None	None	Tab organization only	Full agent mode (shopping, booking)	None	Multi-site research automation
Adoption Barrier	None (default)	High (radical UI)	Low (familiar Chromium)	Medium (privacy concerns)	High (IT-forced)	Medium (Trojan Horse)

ADOPTION STRATEGY

Launch as Chrome/Edge extension FIRST, not standalone browser.

Value Proposition

- Add a full AI Research Analyst inside Chrome
- No browser switching, no disruption
- 10-second install from Chrome Web Store

Delivered Capabilities

- Replaces New Tab with Mission Control research dashboard
- Injects AI Research Agent sidebar into every website
- Enables one-click Generative Focus Mode on any webpage
- Cloud-syncs workspace for continuity across devices

Why This Strategy Works

- Zero adoption friction → instant usage, no learning curve
- 70% of core value with 0% switching cost
- Builds user trust before asking for commitment

Natural Bridge Moment (Weeks 2–3)	Usage-Based Upgrade Signaling
Power users hit Chrome extension limits	Upsell triggered only at technical limits
Workspace state lost after restart	5× faster performance unlocked
	Full privacy protection enabled with unlimited workspaces
	One-click migration (passwords, bookmarks, extensions)

Organic Scale to 50K Active Users (Months 7-12)

Shared Research Workspaces

- Users share read-only project links
- Viewers must install to edit/interact
- Every share becomes a new user acquisition channel

Watermarked Intelligence Reports

- Auto-generated PDFs carry “Synthesized by Velocity”
- Reports circulate in meetings & boardrooms
- Triggers organic word-of-mouth discovery

Productivity Influencer Seeding

- Early access for trusted YouTube/Substack creators
- No paid sponsorships, only real usage reviews
- Drives high-trust, high-intent signups

Freemium Usage Pattern	Upgrade Trigger & Conversion
Free tier allows 10 deep research queries/day	Upgrade prompt shown when daily limit is hit
Basic tab management + read-only workspaces	Message: “You’ve used 10/10 queries today”
Users become power users within 2–3 weeks	Unlimited AI research unlocked
Value dependency increases over time	Generative UI customization unlocked
	\$30/month Pro plan offered
	Target conversion: 18–22% free → paid

Enterprise Scale Driven by Individual Adoption

Bottom-Up Enterprise Entry

- Starts with individual users, grows organically at team level
- No forced enterprise rollout in early stages
- Users become internal champions, enabling bottom-up + top-down alignment

Governance Value + Strategic Scale

- Converts Shadow-IT into governed, secure infrastructure
- Upgrade framed as compliance + security unlock
- Risk flipped into a business-grade asset
- Universities: future enterprise evangelists
- Notion & Slack: deep workflow lock-in
- White-label B2B: \$250K+ annual embedded deals

Bottom-Up Enterprise Trigger	Enterprise Conversion Payoff
50+ users from same company domain detected	SSO / SAML authentication enabled
Shadow IT usage already present	DLP + audit logging activated
Internal teams already report productivity gains	Admin dashboards & BYOK unlocked
No cold outreach required	Dedicated enterprise support
Users push adoption internally	\$50–75 per seat enterprise licensing
Security risk exists by default	Risk converted into compliance asset

REVENUE MODEL

- **Strategic Decision:** Velocity follows a value-aligned revenue model, not an attention-based one as an AI browser optimizing for efficiency (time-to-insight) is structurally incompatible with advertising that optimizes for friction (time-on-page). Our revenue must derive from value beneficiaries: users and their employers.
- **Market Positioning:** Velocity competes in the "Value Economy" (monetize productivity gains), not the "Attention Economy" (monetize user time). This incentive alignment creates sustainable competitive moat.

Tier	Price	Target Segment	Core Features	Conversion Trigger
Velocity Core	Free	Students, trial users, casual researchers	• 10 deep research queries/day • Basic tab organization • Local SLM (Llama-3) for summaries • Read-only shared workspaces	Purpose: Demonstrate core value, drive viral growth, qualify leads for conversion
Velocity Pro	\$30/month	Freelance consultants, independent researchers, product managers	• Unlimited AI research queries • Cloud LLM access (GPT/Claude) • Generative UI customization • Unlimited workspace sync • Priority AI processing	Converts when: Users hit 10 query/day limit (occurs within 2-3 weeks for power users). Target: 18-22% conversion
Velocity Team	\$50/user/month (Minimum 5 seats)	Boutique consultancies, startup research teams, SMB strategy departments	• All Pro features • Shared team workspaces • Collaborative real-time browsing • Team knowledge base integration • Usage analytics dashboard	Converts when: Pro users require team collaboration. 25-30% of Pro users in team contexts upgrade
Velocity Enterprise	\$60-75+/user/month (Custom pricing)	Fortune 500, large consultancies, financial services, healthcare	• All Team features • DLP policy engine (AI-powered) • SSO/SAML/SCIM provisioning • Audit logs & compliance reporting • BYOK (private cloud inference) • Dedicated CSM & support • SLA guarantees	Converts via: Shadow IT flip, bottom-up adoption triggers top-down security purchase decision

UNIT ECONOMICS

CUSTOMER ACQUISITION COST (CAC)

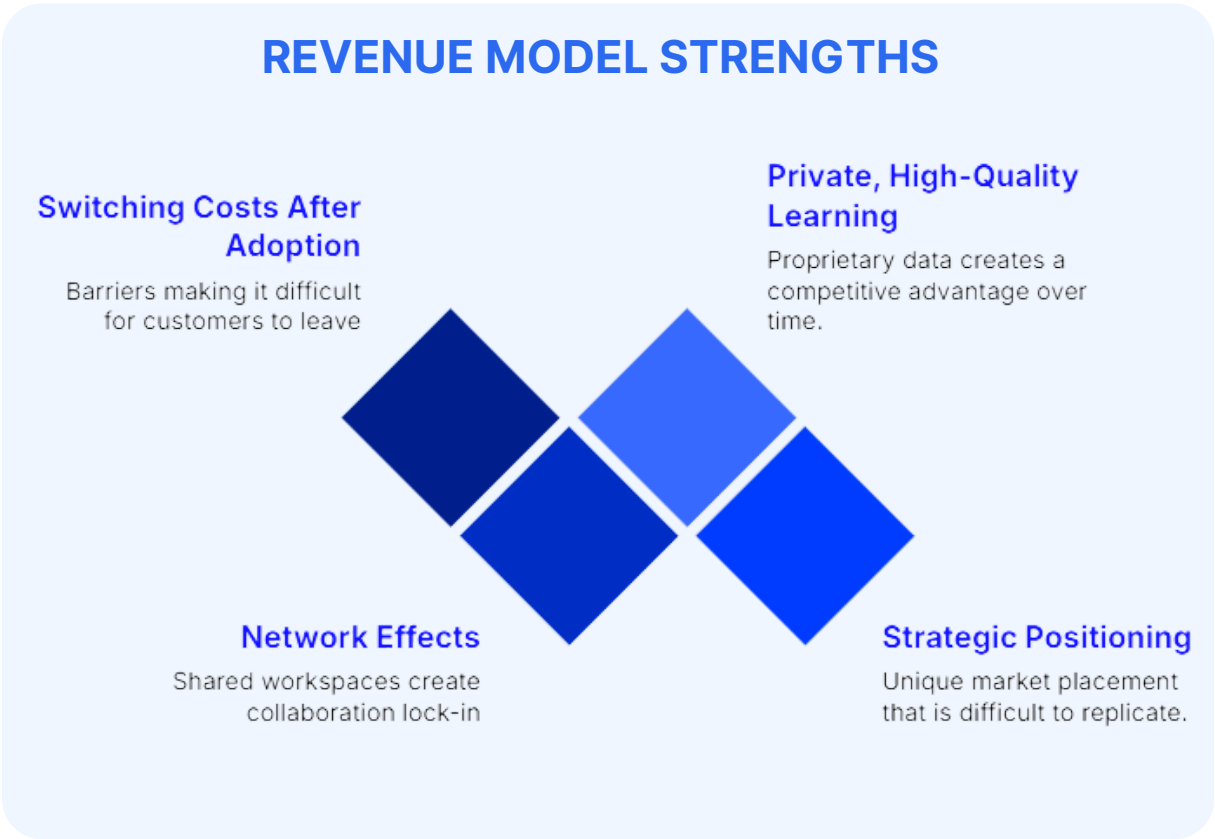
Channel	CAC per User
Organic / Viral (Extension)	\$35
Paid Advertising	\$120
Enterprise (Direct Sales)	\$8,000

LIFETIME VALUE (LTV)

Segment	Monthly Price	Retention	LTV
Pro User	\$30	24 months	\$720
Team User	\$50	30 months	\$1,500
Enterprise Seat	\$65 avg	36 months	\$2,340

LTV : CAC RATIOS

Segment	Ratio	Quality Assessment
Pro (organic)	20 : 1	Exceptional economics
Team	12.5 : 1	Strong SaaS benchmark
Enterprise	3 : 1 → 6 : 1	Improves with scale as CAC decreases
Target Blended	8 : 1 by Year 2	Best-in-class SaaS metric



3-YEAR REVENUE TRAJECTORY							
Strategic Phase	Total Users	ARR (Annual Recurring Revenue)	MRR Exit Rate	Enterprise Accounts	Avg ACV	Gross Margin	Key Milestone
Year 1: Validation & Early Traction	50,000	\$6.5M	\$650K (Month 12)	5 (Pilots)	-	65% (AI inference optimized via local SLMs handling 80% of queries)	Product-market fit validated; 5 enterprise pilot programs completed
Year 2: Scale & Enterprise Penetration	250,000	\$42M	-	50	\$120K	72% (Economies of scale, intelligent caching strategies)	Category leadership established in “AI-native browser for knowledge work”
Year 3: Market Leadership	750,000	\$138M	-	200	\$180K	75% (Mature optimization, BYOK shifts enterprise costs to customers)	Platform ecosystem launch: API marketplace & white-label licensing

- ### METRICS

★ **North Star Metric:**

 - Weekly Active User Retention > 60%

Top Supporting Metrics:

 - Net Promoter Score (NPS) > 50
 - Measured using quarterly user surveys
 - Free-to-Paid Conversion: **18–22%**
 - Measured via subscription funnel analysis
 - Monthly Recurring Revenue (MRR): \$500K+ by Month 12
 - Measured via financial reporting
 - LTV:CAC Ratio > 6:1 (Blended)
 - Measured via financial modeling

RISKS & MITIGATION STRATEGY			
Risk Factor	Probability	Impact	Core Mitigation Strategy
Chrome Store Extension Block	High	High	Parallel standalone browser, enterprise sideloading, Firefox backup, accelerated full-browser adoption
AI Hallucination in Critical Workflows	Medium	Critical	RAG with mandatory citations, human-in-loop validation, confidence scoring, strong disclaimers
Inference Cost Volatility	Medium	Medium	80% queries via local SLMs, multi-provider strategy, freemium usage caps, BYOK for enterprises
Adoption Inertia / Switching Friction	High	High	Trojan-horse extension, one-click data import, hybrid research mode, enterprise champion program
Competitive Response from Incumbents	High	Medium	12–18 month speed advantage, privacy moat, patent filings, enterprise network lock-in